ASIC 12nm Cost Model

QUG-V1 Mining SoC — Economic Analysis

Dragon Ball × Quillon Partnership

Revised with DeepSeek Stress Test Corrections

Quillon Foundation

April 2026

Abstract

This document presents a comprehensive cost analysis for the QUG-V1 Mining SoC targeting TSMC 12FFC (12nm FinFET Compact). We evaluate die economics, bill of materials, break-even projections, and the 12nm vs 7nm trade-off. The analysis incorporates code-verified VDF performance numbers and corrections from an independent stress test. Our conclusion: a standalone box miner at $149 retail breaks even at 8,300 units with a 6–10× mining advantage over desktop CPUs.

Contents

1 Die & Wafer Economics

1.1 TSMC 12FFC Process Parameters

Parameter	Value	Notes
Process	TSMC 12FFC	Mature node, proven for crypto ASICs
Wafer diameter	300 mm	Standard
Wafer cost	\$3,500	Volume pricing at 100+ wafers
Defect density (first lot)	$0.45/\text{cm}^2$	Conservative for initial lots
Defect density (production)	$0.25/\text{cm}^2$	Mature production
Reticle limit	$858\,\text{mm}^2$	Max single-exposure die

Table 1: TSMC 12FFC process parameters

1.2 Die Size Estimates

Configuration	Tiles	LUTs (FPGA)	Die Area	Notes
Minimal (Phase 1A)	4	∼52K	$12\text{–}16\,\text{mm}^2$	BLAKE3 only
Standard (Phase 1B)	16	∼210K	$25\text{–}35\,\text{mm}^2$	Full SoC
Performance (Phase 2)	64	∼840K	$80\text{–}120\,\text{mm}^2$	Multi-cluster

Table 2: Die size estimates by configuration

1.3 Yield Model (Standard 16-tile, $30\,\text{mm}^2$)

$$\text{Gross dies per wafer} = \frac{63{,}000\,\text{mm}^2}{30\,\text{mm}^2} \approx 2{,}100 \tag{1}$$

$$\text{After edge loss (15\%)} = 2{,}100 \times 0.85 = 1{,}785 \tag{2}$$

$$\text{Yield} = e^{-D_0 \times A} = e^{-0.45 \times 0.30} = 86.6\% \tag{3}$$

$$\text{Good dies per wafer} = 1{,}785 \times 0.866 = \mathbf{1{,}545} \tag{4}$$

Lot	D_0 (cm^{-2})	Yield	Good dies/wafer	Die cost
First lot (25 wafers)	0.45	86.6%	1,545	\$2.27
Production (100+ wafers)	0.25	92.7%	1,654	\$2.12

Table 3: Yield and die cost by production phase

2 NRE (Non-Recurring Engineering)

2.1 NRE Amortization Per Unit

3 Bill of Materials — Box Miner (\$149 retail)

3.1 Margin Analysis

At **\$149 retail, 25K units**:

Item	12nm Cost	7nm Cost	Savings
Mask set	\$400K–600K	\$800K–1.2M	50%
Design services	\$150K–250K	\$200K–350K	25%
IP licensing (RISC-V, PLL, IO)	\$50K–100K	\$75K–150K	30%
Packaging engineering	\$30K–50K	\$30K–50K	Same
Testing/characterization	\$50K–100K	\$75K–125K	30%
Prototype wafers (3 lots)	\$75K–105K	\$150K–210K	50%
Total NRE	**\$755K–1.2M**	**\$1.33M–2.08M**	**40–45%**

Table 4: NRE comparison: 12nm vs 7nm

Production Volume	NRE/Unit	Impact
5,000 units	\$160–240	Significant
10,000 units	\$80–120	Manageable
25,000 units	\$32–48	Minimal
50,000 units	\$16–24	Negligible

Table 5: NRE amortization by volume

- Revenue: \$3.73M
- COGS: \$714K
- NRE amortization: \$1M
- **Net profit: \$2.02M (54% margin)**

4 Mining Performance (Code-Verified)

Quillon uses a **dual-lane mining algorithm**:

1. **BLAKE3 Lane**: 100 sequential BLAKE3 hashes per nonce candidate
2. **VDF Lane**: Genus-2 hyperelliptic curve Jacobian doublings (∼154,930 iterations)

Both lanes must produce valid proofs for a block solution. The VDF lane is the bottleneck.

4.1 VDF Doubling Performance (Verified from `genus2_vdf.rs:334`)

Each Jacobian doubling requires ∼8 BigInt operations on 256-bit numbers (3× multiply + mod_floor, 3× add + mod_floor, comparison, reduction).

4.2 Combined Mining Advantage

Phase 2 ASIC with hardened Jacobian doubling FSM (bypasses RISC-V pipeline entirely): **50–100× advantage** over desktop CPU. This is the long-term competitive moat.

5 Break-Even Analysis

5.1 Box Miner at \$149, 12nm

5.2 Comparison: 12nm vs 7nm

Component	Cost	Notes
ASIC die (12nm, 16-tile)	\$2.27	First lot pricing
BGA-256 package	\$1.50	Larger package for IO
PCB (4-layer, 60×60 mm)	\$2.50	Ethernet + power
DDR3 RAM (256 MB)	\$2.00	Optional, for full node
Ethernet PHY + magnetics	\$2.50	RJ45 connection
Power supply (5V/3A, 15W)	\$3.00	External brick
Voltage regulators (multi-rail)	\$2.50	Buck converters
Oscillator + clock tree	\$0.80	
Flash (SPI, 16 MB)	\$0.50	Firmware storage
Enclosure (aluminum)	\$5.00	Heat sink integrated
Assembly + test	\$3.00	
Total BOM	**\$25.57**	
Packaging + shipping	\$3.00	
Landed cost	**\$28.57**	

Table 6: Box miner bill of materials

Platform	Per Doubling	Doublings/sec	VDF Proofs/sec
CPU (Rust `num-bigint`)	3–5 μs	200K–330K	~1.5
CPU (AVX-512 Montgomery)	0.5–1 μs	1M–2M	~10
ASIC Xlattice (firmware)	~840 ns	~1.19M	~5
ASIC hardened FSM (Phase 2)	~50 ns	~20M	~130

Table 7: VDF performance by platform (at 154,930 iterations per proof)

6 Customer ROI — Mining Revenue Projections

Quillon emission: 2,625,000 QUG/year (Era 0). Revenue per miner depends on network size and QUG price.

Realistic scenario: 500–1,000 ASICs within 12 months. At \$0.10/QUG, payback is 4–8 months. Competitive with Bitcoin ASIC miners (12–18 month payback).

7 Strategic Timeline

8 DeepSeek Stress Test Corrections

An independent review identified and corrected the following issues:

1. **USB miner removed** — 8W die + 1W losses = 9W exceeds USB 2.0 power limit (2.5W)
2. **Defect density corrected** — $D_0 = 0.45/\text{cm}^2$ for first lots (was 0.3)
3. **VDF advantage corrected** — Code-verified at 3–5× (was 600×). Phase 2 hardened FSM delivers 50–100×
4. **CPU hashrate validated** — BLAKE3 100-chain: ~30 MH/s per core (not raw GH/s)
5. **16FFC option identified** — Same lithography as 12FFC, 15–20% lower wafer cost at 500 MHz

Lane	ASIC	Desktop CPU	Advantage
BLAKE3 (100-hash chain)	500 MH/s	240 MH/s	∼2×
VDF (Jacobian doublings)	5 proofs/s	1.5 proofs/s	∼3–5×
Combined mining			**6–10×**

Table 8: Phase 1 ASIC vs desktop CPU mining performance

Units	Revenue	COGS	NRE	Net Profit
5,000	$745K	$143K	$1M	−$397K
8,300	**$1.24M**	**$237K**	**$1M**	**$0 (break-even)**
10,000	$1.49M	$286K	$1M	$206K
25,000	$3.73M	$714K	$1M	$2.02M
50,000	$7.45M	$1.43M	$1M	$5.03M

Table 9: Break-even analysis — 12nm box miner at $149

9 Conclusion

The 12nm box miner at $149 is economically viable:

- **Break-even at 8,300 units** — achievable with Dragon Ball's existing distribution
- **6–10× mining advantage** over desktop CPUs (Phase 1, Xlattice firmware VDF)
- **50–100× advantage planned** for Phase 2 (hardened Jacobian doubling FSM)
- **Lowest capital risk** — $1.3M initial vs $2.5M for 7nm
- **Fastest time to market** — 14–16 weeks fab vs 18–22 for 7nm
- **Self-funding path to 7nm** — 12nm profits finance the shrink

Dragon Ball's existing TSMC relationships, XC7K355T FPGA boards, VCS simulation infrastructure, and manufacturing expertise de-risk execution. This is a proven team adding a new product to an existing pipeline.

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All cost estimates based on publicly available TSMC pricing and industry benchmarks
Actual costs may vary based on Dragon Ball's existing TSMC agreements

Metric	Box \$149 (12nm)	Box \$149 (7nm)	Winner
Break-even units	**8,300**	17,200	12nm
Profit at 25K units	\$2.02M	\$905K	12nm
Profit at 50K units	\$5.03M	\$3.80M	12nm
Time to market	14–16 weeks	18–22 weeks	12nm
Initial capital	∼\$1.3M	∼\$2.5M	12nm

Table 10: 12nm vs 7nm economic comparison

ASICs on Network	Daily (\$3/QUG)	Daily (\$0.10/QUG)	Payback (\$0.10)
1 (first mover)	\$19,600	\$653	<1 day
10	\$1,960	\$65	2 days
100	\$196	\$6.53	23 days
500	\$39.20	\$1.31	114 days
1,000	\$19.60	\$0.65	229 days
5,000	\$3.92	\$0.13	3.1 years

Table 11: Mining revenue per miner at various network sizes

Month	Milestone
0–1	Sign collaboration agreement; deliver production RTL
1–3	FPGA validation on XC7K355T; timing closure at 500 MHz
3–4	Tape-out submission to TSMC 12FFC; package finalization
4–7	Wafer fabrication (14–16 weeks); board design in parallel
7–8	First silicon; bring-up + characterization
8–9	Production qualification; begin wafer orders
9–10	First customer shipments; mining revenue begins
12+	7nm shrink design begins (funded by 12nm revenue)

Table 12: Development and production timeline